Cava Group, Inc.

Tapering Rollout Short

Price Target: $100

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Closing Price on 10/14/2024: $134.75

Overview:

Overview

CAVA is a great business, that is overvalued

"Even a great company can be priced too high if there's a lot of glamour attached to it"

Current Price: $133

Price Target: $100

Time Horizon: 10- 12 Months

1

Investment Thesis 1: Lofty Growth Estimate

The market is currently estimating a perfect growth story for CAVA (350x P/E) although CAVA has already hit its peak Restaurant Operating Margin

2

Investment Thesis 2: Health Concerns

CAVA increasingly negative track record around health violations is directly mirroring the E.coli outbreak that competitor Chipotle experienced

3

Investment Thesis 3: Geography Bottleneck

CAVA is forced to expand into labor union dominated geographies as their SE/SW locations have lower AUVs than its counterparts. This diminishes profit margins

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Industry Overview

Overview

CAVA

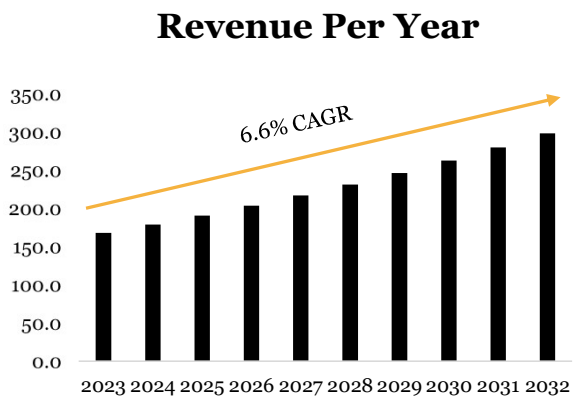
Fast Casual Restaurant Model

- Customers typically order at the counter and receive food quickly, eliminating table service
- Consumers show a proven interest in "food bowl"- style concepts due to their efficiency and versatility
- Fast-casual restaurants often use higher-quality ingredients and emphasize made-to-order food

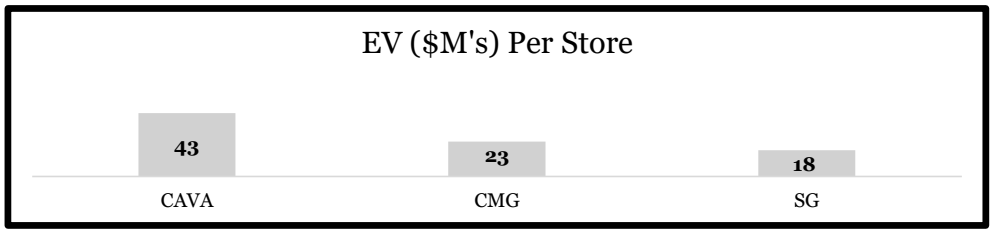
AUV Vs Comps

CAVA	$2.7mm
Chipotle Mexican Grill	$3.1mm
sweetgreen	$2.9mm

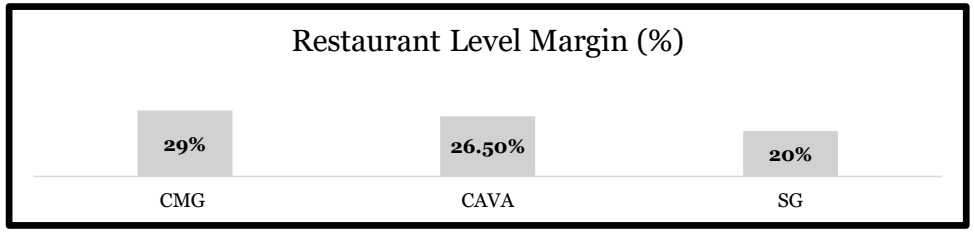
Market Dynamics



Cava is trading at 2-3x its comps per store



Restaurant Level Margin

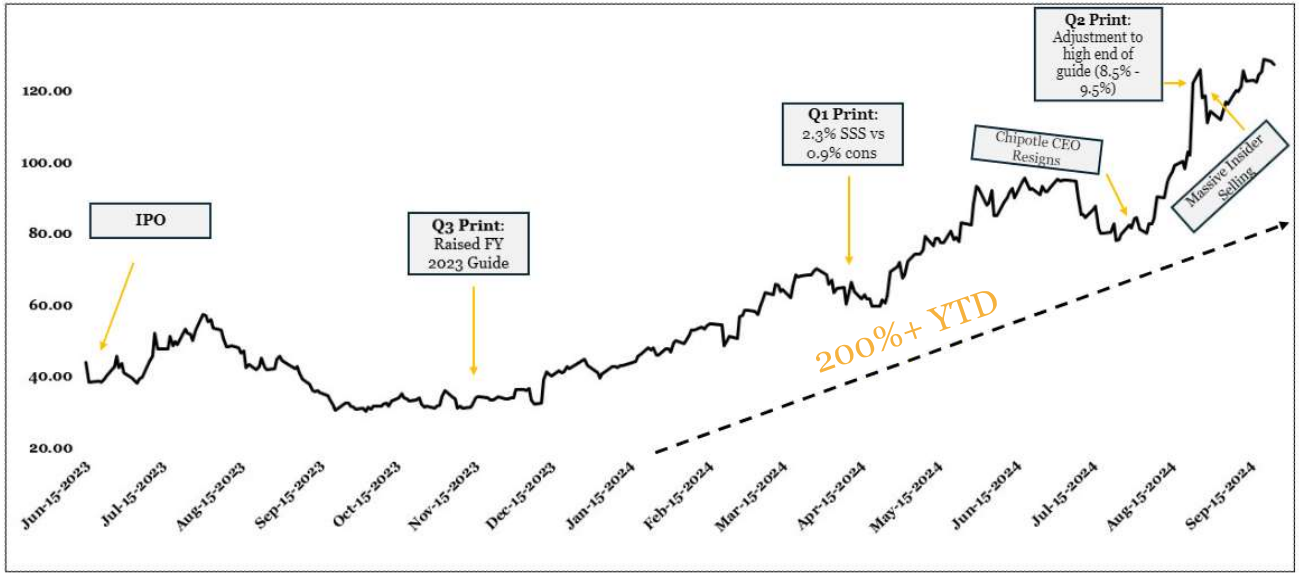


Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

CAVA's Business Model

Investment Thesis

CAVA



Zoës Kitchen Acquisition

- CAVA acquired Zoës Kitchen in November 2018 for $300 million in an all-cash transaction
- Zoës Kitchen's existing presence in the SE region drove growth as Cava reached new customer segments
- Leveraged shared mediterranean cuisine focus into increased operational efficiency and suburban presence

Revenue & Growth Drivers

$21 Average spend per visit	341 current stores with plans to have 1000 locations by 2032
New menu offerings (grilled steak, garlic ranch pita chips)	Consumer preference for healthier, faster dining experiences

Capitalization Table

Price as of 10/11	$133.65
Diluted Shares	114.00
Market Cap	15,236.10
Total Debt	-
Cash	343.70
Net Debt	(343.70)
Enterprise Value	14,892.40

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Investment Thesis 1: Lofty AUV Assumptions

Investment Thesis

CAVA

Reverse DCF Model			2023A	2024E	2025E	2026E	2027E	2028E
($ in millions)			Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue			$935	$1,214	$1,575	$2,045	$2,654	$3,445
% Growth Rate	% 5-Year CAGR	29.80%		29.80%	29.80%	29.80%	29.80%	29.80%
Units			341	361.12	407.70	467.64	544.33	642.85
% Growth Rate				5.90%	12.90%	14.70%	16.40%	18.10%
AUV			3	3.36	3.86	4.37	4.88	5.36
% Growth Rate				24.47%	14.97%	13.16%	11.51%	9.91%
EBIT			$36	$79	$143	$241	$382	$586
% EBIT Margin			4%	6.50%	9.10%	11.80%	14.40%	17.00%
Less: Taxes	% Tax Rate	18.00%	($7)	($14)	($26)	($43)	($69)	($105)
NOPAT			**$30**	**$65**	**$118**	**$198**	**$313**	**$480**
% NOPAT Margin			3.20%	5.33%	7.46%	9.68%	11.81%	13.94%
Plus: D&A	% Capex	50.00%	46.75	60.68	78.76	102.24	132.70	172.25
Less: Capex	% Revenue	10.00%	($94)	($121)	($158)	($204)	($265)	($344)
Less: Change in NWC	% Revenue	0.00%	--	--	--	--	--	--
Free Cash Flow to Firm (FCFF)			**($17)**	**$4**	**$39**	**$96**	**$181**	**$308**
Discount Factor	% WACC	10.0%		0.5	1.5	2.5	3.5	4.5
Present Value of FCFF				**$4**	**$34**	**$75**	**$130**	**$201**

Implied DCF Valuation	
EBITDA	$758
EBITDA Multiple	29.00
Terminal Value in Final Year	$21,979
Present Value of Terminal Value	$14,313
Total Enterprise Value (TEV)	**$14,756**
Less: Net Debt	(344.00)
Equity Value	**$15,100**

Share Price Calculation	
Diluted Shares Outstanding (mm)	114
Implied Share Price	$132.46
Current Market Share Price	$133.65
Implied Growth Rate	**29.80%**

Implied CAGR: 29.80%

AUV/Units

- For CAVA to reach a $14.7 billion EV At $133 per share, CAVA needs AUV to jump to $3.4 million next year and over $5 million in five years—no fast-casual brand has ever done this
- Even assuming best-in-class margins and low CapEx, this implies a ~29.8% CAGR over five years at a $14 billion EV

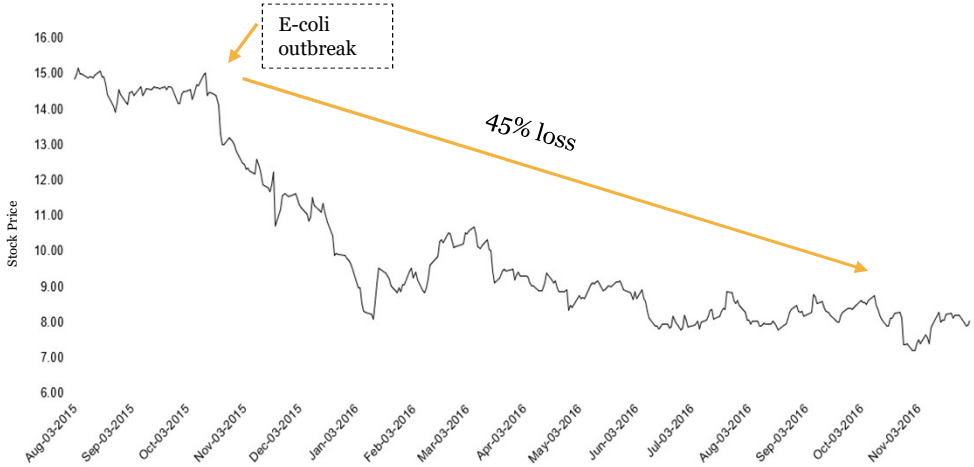
Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Investment Thesis 2: Health Concerns

Investment Thesis

CAVA

Chipotle E.coli Outbreak



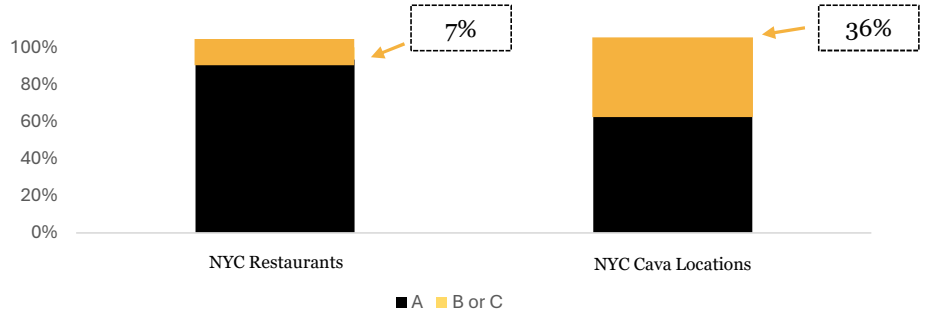
CAVA Impending Health Crisis

- Highlighted E. Coli concerns, "hot TCS food items not held at or above 140°F"
- CAVA's highest AUV locations are in NYC
- 93% of NYC restaurants received "A" grades, while 36% of CAVA locations hold "B" or lower
- Indicates potential operational issues as CAVA prioritizes rapid expansion over safety standards

Potential Impacts

- In 2015, Chipotle faced E. coli outbreaks, causing a 40% stock drop and damaging its reputation and consumer trust
- Health ratings were already concerning before the outbreaks
- CAVA is experiencing declining health ratings, raising similar concerns about its operations, reputation, and customer trust

NYC Health Rating



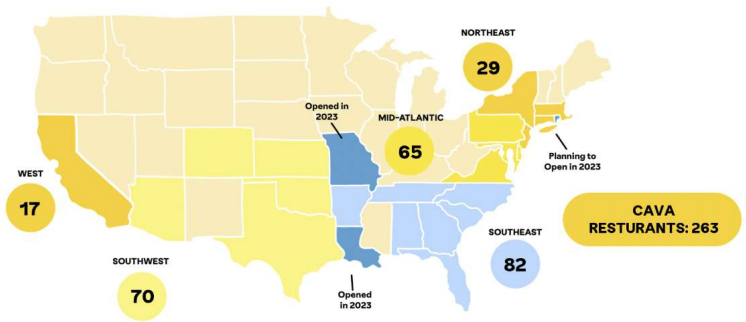
Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Investment Thesis 3: Geography Bottleneck

Investment Thesis

CAVA

Restaurant Split by Location & AUV Disparity



- A large majority of the CAVA locations are concentrated in the SE/SW region with over 150 locations sitting between the two. These regions are primarily known for being union-unfriendly
- Due to CAVA having a large presence in the SE/SW region, it becomes clear that Cava needs expand into heavily pro-union geographies. This is because their SE/SW locations make lower AUVs than Northeast and West region locations

Decreased AUV

- When recent Chipotle worker union pressure began, it started with a location in Lansing, MI unionizing and there is now increased pressure in New York City
- Unions are more in favor in the current administration, then unitization is more likely, it is more likely in the areas they are expanding in
- This could be a material issue for CAVA because they are still in the key stage of growth

AUV by Region

($ in millions)	Restaurants	AUV
Mid-Atlantic	59	$2.60
West	51	$2.90
Northeast	24	$3.30
Southeast	35	$2.20
Southwest	42	$2.30

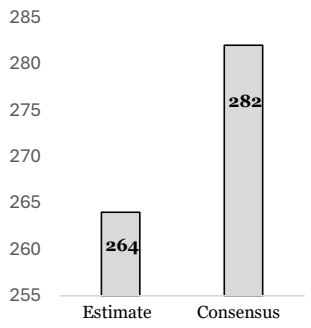
Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Model Valuation

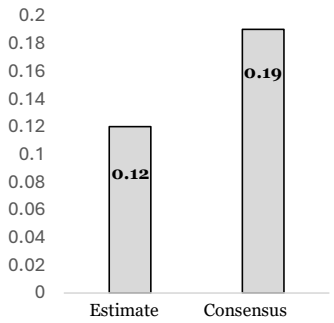
Valuations

CAVA

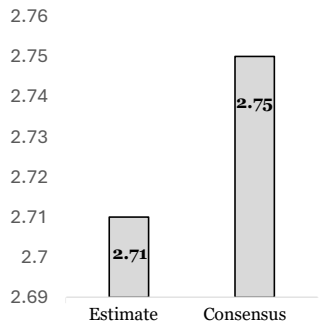
Q2 25 Sales ($mm)



Q2 25 EPS



2025 FY AUV ($mm)



Scenario Analysis	Bull	Base	Bear
2024 EPS	$0.44	$0.43	$0.42
Multiple	340.0x	220.0x	170.0x
Implied Stock Price	$149.60	$94.60	$71.40
Upside	12.5%	(28.9%)	(46.3%)
Bull/Bear R/R	3.71x		

Scenario Analysis	Bull	Base	Bear
2024 EBITDA	$97.40	$92.60	87.9
Multiple	125.0x	115.0x	105.0x
Implied Stock Price	$106.80	$93.41	$80.96
Upside	(19.7%)	(29.8%)	(39.1%)
Bull/Bear R/R	1.99x		

Scenario Analysis	Bull	Base	Bear
2025 EPS	$0.55	$0.50	$0.45
Multiple	258.0x	238.0x	218.0x
Implied Stock Price	$141.90	$119.00	$98.10
Upside	6.7%	(10.5%)	(26.2%)
Bull/Bear R/R	3.92x		

Scenario Analysis	Bull	Base	Bear
2025 EBITDA	$128.10	$113.80	99.8
Multiple	99.0x	90.0x	85.0x
Implied Stock Price	$111.24	$89.84	$74.41
Upside	(16.4%)	(32.4%)	(44.1%)
Bull/Bear R/R	2.69x		

Model Assumptions

Revenue Assumptions

AUV: $2.7 mm for 2025

Store Growth: 60 openings '25

Cost Assumptions

Store Level Margin: 25% in '25

CapEx: $2.0 mm per unit

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Risks & Mitigations

Valuations

CAVA

Risks	Mitigations
2026 guide on Q3 call: 2026 FY Guide comes in better than expected on Store Growth + Store Margin Expectations	Alternative data on visits + average order price can provide insight *before the print* if the thesis still holds
Strong brand loyalty: Cava's brand identity could shield their stock price from potential fallout from negative PR	Using Chipotle as a case study, their strong brand was still **harshly impacted** from negative PR related to their E.coli outbreak
Q3 comes in better than expected: Possibility that a strong Q3 will give management confidence for 2025 FY	Buy Side expectations for Q3 are already lofty (25%+ after Q2 print) – print needs to come in 10%> analyst estimates for any rally

Event Path

1. **Catalyst 1:** Q3 CMG Earnings read across
   Time Horizon: Q3 '24
2. **Catalyst 2:** Q3 Earnings
   Time Horizon: Q3 '24
3. **Catalyst 3:** Q4 Earnings – 2025 FY Guide
   Time Horizon: Q4 '24
4. **Catalyst 4:** Alternative data store visits
   Time Horizon: N/A

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Tapering Roll Out Setup

Conclusion

CAVA

Scenario Analysis	Bull	Base	Bear
2025 EPS	$0.55	$0.50	$0.45
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Implied Stock Price	$141.90	$119.00	$98.10
Upside	6.7%	(10.5%)	(26.2%)
Bull/Bear R/R	3.92x		

Given the *unfavorable symmetry* when it comes to Risk to Return from a short perspective a 3.92x R/R is **incredibly compelling** in our eyes

1

The Set Up

Tapering Roll Out

We believe this is a classic **"Tapering Roll Out"** short where we are in the 2nd half of a growth story and Cava **has already chosen** all its A+ locations with Chicago last Q being the cherry on top. P/E contraction comes next

2

The Thesis

Mkt Re-assessment on TV

The trade is simple – we believe following 2025 Q2 earnings the street will re-think CAVA'S terminal value and shed off the 350x P/E multiple. Nearly all of CAVA's growth has been multiple expansion

3

The Returns

Multiple Ways to Win

This trade is **highly asymmetric** as Cava's dream scenario is *already priced in* – any hiccups along the way and the multiple will erode. Even the stock meets SS expectations – we believe it will trade down

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research

Tapering Roll Out Setup

Conclusion

CAVA

Overall Outlook

CAVA is navigating a complex landscape where its current valuation assumes flawless execution, but several key risks such as stagnating margins, health violations, and expansion into high-cost regions threaten to derail the growth narrative. These headwinds suggest that CAVA's stock is vulnerable to downward pressure, especially if any of these risks materialize or the market reassesses its optimistic assumptions

Investment Thesis 1: Lofty Growth Estimate

The current valuation assumes continued growth that may not be sustainable given operating margin constraints. Any signs of stagnation or underperformance could severely impact the stock price

Investment Thesis 2: Health Concerns

Health violations represent a major operational risk that could lead to reputational damage and sales declines, putting pressure on CAVA's growth narrative and long-term brand strength

Investment Thesis 3: Geography Bottleneck

Geographical expansion into labor union-heavy markets combined with higher labor costs will compress profit margins depleting chances of efficient sustainable growth

Source for All Information: CAVA, S&P Capital IQ, Yahoo Finance, Straits Research